

One prone to conspiracy theories might conclude that REITs are concocted primarily by all the people in the industry who rightfully fear that real estate values are *not* coming back. The rebound in the real estate market from the 1990 low has proved immensely useful to the big property holders who had found themselves in trouble in 1990. With help from Wall Street, real estate developers and banks have been using the rebound aggressively to remove the risk of bankruptcy from their own shoulders and hand it over to the public. While property values themselves have been sluggish, adjustable rate mortgages have been bundled and sold by the billions to the public as investments. In 1992, the public, convinced that the drop into 1990 had provided their “last chance to buy,” began investing in all types of real estate oriented investments at a furious rate. That year, investors purchased \$919.2 million worth of initial public offerings of REITs and \$1.05 billion worth of secondary offerings, the highest combined total since 1988. As Figure 20-14 shows, 1993 was the capper, as initial public offerings raised an incredible record \$9.3 billion, *more than was raised in the prior seven years combined*. Overall, the rebound since 1990 has been a classic secondary top in a speculative market, akin to that of April 1930 in stocks, which similarly was accompanied by new record volume.

Investors’ record rush to purchase real estate investment trusts in 1993, and its moderated continuation into today, is not a random manifestation of the investment boom but a more intense replay of exactly the same mania that has hit twice since the early 1970s. Why has this mania recurred?

One month before the high to date in equity REITs, the September 1993 issue of *The Elliott Wave Theorist* pointed out a time sequence that indicated not just another high at hand, which is difficult enough to identify, but in fact the last in a series of manias that stretched back over two decades. As illustrated by the bars in Figure 20-13, the last major REIT bubble topped out in **1972**, a Fibonacci **21** years before 1993. **13** years prior was **1980**, which marked the inflationary peak in physical assets, including real estate. The next topped occurred in **1985-1986**, a Fibonacci **8** years prior to 1993-1994. 1985 saw the peak in initial public offerings of REITs (not shown), which that year were more than double the 1986 figure, while 1986 saw the high in REIT stock prices. That mania was quashed by the tax law changes. This is a convincing web of Fibonacci time relationships that points to **1993**, with follow-through to **1994**, as a time of culmination for this long term sequence of REIT stock